INTRODUCTION

An insightful and well-written company research report helps investors understand a company and make better investment decisions about the company's securities. This module is the first of three that will provide a framework to prepare a company research report by applying methods covered in previous modules to assess a company's business model, financial performance, and financial position.

Learning Module Overview

- Company research reports analyze a company's past and present financials, its industry and competitors, and forecast its future financial statements. Reports end with a valuation, an investment recommendation, and investment risks.
- The first step of company analysis requires an understanding of the issuer's business model, for which analysts rely on both issuer and third-party information sources.
- An understanding of the issuer's business model and analysis of historical financial statements will allow the analyst to identify key drivers of revenues, profitability, cash flows, and financial position.
- Revenue analysis can be done using a bottom-up or top-down approach. A bottom-up approach breaks down revenues into drivers such as sales volumes and prices, by product line or segment. A top-down approach expresses revenue as a function of drivers such as market share, market size, and GDP growth.
- While a company can change its prices at will, its ability to do so successfully (i.e., not causing a loss of volume) and relative to costs is driven by the company's pricing power. Pricing power is primarily a function of industry structure and competitive strategy.
- Cost analysis assesses a company's profitability and working capital management. Analysts calculate and interpret several cost and profitability measures, including gross, operating, and net margins.
- While a fixed versus variable cost analysis is useful, the analysis is often limited by issuer disclosures and accounting standards that emphasize cost reporting by function or nature.
- The degree of operating leverage measures the sensitivity of operating profit to changes in sales. Operating leverage is primarily driven by the fixed and variable cost composition of the issuer's operating expenses.
- The degree of financial leverage measures the sensitivity of net income to changes in operating income. Financial leverage is primarily driven by the issuer's capital structure.

Learning Module Self-Assessment

These initial questions are intended to help you gauge your current level of understanding of this learning module.

Hide Solution

Solution:

Common to all research reports:

- Analyst's investment recommendation and target buy or sell prices
- Risks such as evaluation of material downside and upside risks

Common to initial research reports:

- Discussion of issuer's business model and strategy, and explanatory charts and figures that disaggregate revenues and profits by product or geography
- Detailed financial analysis and models
- Industry overview and competitive positioning such as industry size, growth rate, market share trends, and industry profitability. Evaluation of the company's competitive position and strategy in each product line or segment is also common.

2. Identify three information sources that analysts commonly use to determine and analyze a company's business model.

Hide Solution

Solution:

- Regulatory filings if the issuer is public, especially the annual and quarterly reports
- Investor events and presentations by the issuer
- Visiting the company's properties and/or websites

3. Last year, a distributor of dental care products earned EUR800 million in revenues. Management estimated that its market share was 10%. Based on management's estimate, the market size for distribution of dental care products in this geography last year was *closest* to (in millions of EUR):

A. 80
B. 7,200
C. 8,000

Hide Solution

Solution:

C is correct.

$$\text{Market share} = \frac{\text{Revenue}}{\text{Market Size}}$$

Which can be rearranged to:

$$\text{Market size} = \frac{\text{Revenue}}{\text{Market Share}}$$

$$\text{Market size} = \frac{\text{EUR 800 million}}{10\%}$$

$$\text{Market size} = \text{EUR } 8{,}000 \text{ million } (8 \text{ billion})$$

4. A beverage manufacturer recently introduced a new line of healthy tea-based drinks. The average selling price was USD20 a case last year and the company sold 2 million cases. This year, an analyst forecasts sales of 3 million cases and an increase in the average selling price—from a reduction in discounts and promotions—of 5%. The analyst's forecast for net sales growth this year over the prior year is *closest* to:

C. 58%

Hide Solution

Solution:

C is correct.

Net sales = average selling price × cases sold

Net sales last year = USD20 × 2 million = USD40 million

Net sales forecast this year = (USD20 × 1.05) × 3 million = USD63 million

Forecasted net sales growth rate = 63/40 − 1 = 0.575 or 58%

5. Impression Ltd. is a fictional company that designs, manufactures, and sells skin care and beauty products. Identify whether each expense line below from Impression Ltd.'s last annual income statement is *most likely* a fixed or variable cost.

I. Amortization of acquired intangible assets	Fixed	Variable
II. Interest expense	Fixed	Variable
III. Costs of goods sold	Fixed	Variable
IV. General and administrative expenses	Fixed	Variable
V. Sales commissions	Fixed	Variable

Hide Solution

Solution:

I. Fixed. Amortization expense generally does not change with levels of sales volume, as definite-lived intangible assets are amortized on a straight-line basis over the assets' useful lives.

II. Fixed. Interest expense is a function of the quantity of debt and its interest rate, not sales volume.

III. Variable. Costs of goods sold are incurred when sales are made.

IV. Fixed. General and administrative expenses are usually not related to sales volume each year.

V. Variable. Sales commissions, a form of performance-based compensation for salespeople, are a function of sales and are therefore variable.

6. Based on the data below, the degree of operating leverage for Company XYZ for the year ended 31 December 20X1 is *closest* to:

Company XYZ: Statement of Income for the Year Ended (in millions of EUR)

	31 December 20X1	31 December 20X0
Revenue	9,707	9,256
Costs of goods sold	4,850	4,637
Selling, general, and administrative expenses	993	1,090
Research and development expenses	1,700	1,554
Other operating expenses	491	448
Interest expense	309	325
Other (income) expense	24	(71)
Income before income taxes	1,340	1,273
Provision for income taxes	295	255
Net income	1,045	1,018

C. 1.96

Hide Solution

C is correct.

20X1 Operating Income = 9,707 – 4,850 – 993 – 1,700 – 491 = 1,673

20X0 Operating Income = 9,256 – 4,637 – 1,090 – 1,554 – 448 = 1,527

DOL = % Δ Operating Income/% Δ Sales

DOL = (1,673/1,527 – 1)/(9,707/9,256 − 1)

DOL = 1.96

A is incorrect, as it inverts the equation; it is the ratio of the change in sales to the change in operating income.

B is incorrect; it is the ratio of the percentage change in pre-tax income, rather than operating income, to the percentage change in sales.

7. If a company reported trailing 12 months' operating cash flow of USD150 million, current assets excluding cash of USD40 million, and current liabilities of USD60 million, the company *most likely*:

A. was inefficient in managing its financing.
B. used trade credit to manage working capital.
C. over-extended itself and is at risk of bankruptcy.

Hide Solution

Solution:

B is correct. Negative net working capital typically indicates that the company uses suppliers' trade credit to lengthen days payable, while also efficiently managing inventory days and days sales outstanding.

A is incorrect. Negative working capital is a source rather than a use of financing and gives an issuer more financial flexibility, as capital is not tied up in working capital.

C is incorrect. There is not enough information here to determine bankruptcy risk, but positive operating cash flows and negative net working capital are not bankruptcy risk indicators.

8. A company's management may choose *not* to use financial leverage because the company has:

A. an investment-grade credit rating.
B. a high degree of operating leverage.
C. a lower net debt to EBITDA ratio than its peers.

Hide Solution

Solution:

B is correct. The degree of financial leverage and the degree of operating leverage together equal the degree of total leverage in the business. If the company already has a high degree of operating leverage, using financial leverage may increase total leverage and risk to too high a level.

A is incorrect. An investment-grade credit rating generally indicates that the company could borrow economically, which would be a reason to use financial leverage.

C is incorrect. A lower net debt to EBITDA ratio than its peers is an indicator of borrowing capacity, which would be a reason to use financial leverage.

Discuss
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Discussion

What do you want to discuss... (required)

PC

Q4. If the price with discount was $20 then without the 5% discount the price would be ($20/0.95). In the solution it has been considered as 5% above $20 which is 20(1+0.05). While answers with both assumptions are similar it would be important to understand how to correctly interpret such questions going forward.

Created 5 months ago by Priyesh Choodamani Iyer

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